

Operating Where Consensus Is Gone

Cycle: 26 May 2026 · Audience: strategy teams planning across multiple geopolitical realities · Horizon: 2 to 5 years
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Executive Synthesis

Which decisions on your desk this week assume the world is converging?

The evidence in this report says it is not.

The operating environment has stopped being one operating environment. Three years of accelerating decoupling, sanctions creep, industrial-policy bidding wars and middle-power hedging have produced something the post-Cold-War strategy textbook does not contain: a world where the same shipment, customer or counterparty triggers different rules depending on which jurisdiction is reading. The Bureau of Industry and Security [moved H200 and MI325X licences to case-by-case review on 13 January 2026](#), then the President added a [25% Section 232 tariff on the same chips two days later](#). The EU's [20th sanctions package on 23 April 2026](#) sanctioned a stablecoin and brought the Russian designated-bank count to 70. ASEAN's leadership [tipped toward China for the first time in eight years of polling](#). None of these is in itself catastrophic. The strategic problem is the simultaneity.

The cycle's spine is the technology decoupling. It is the cluster where policy moves the fastest and where the gap between Washington's stated and revealed preferences is widest. The H200 reversal was not a relaxation: it bound chip exports to a 25% tariff, a 50% revenue cap and a federal revenue-share, while CSIS's [indigenisation tracker shows the domestic SME share rising from roughly 25% to 35% across 2024 to 2025](#). The same week, the Council and Parliament agreed [an Omnibus VII pause of up to 16 months on the AI Act's high-risk obligations](#). The decoupling is real and the rule book is mutable, both at once.

The operating environment has stopped being one operating environment.

Around that spine, three forces now dominate leadership attention. First, sanctions plumbing has become an everyday compliance burden, not an exceptional regime: [OFSI's 2026 to 2029 strategy](#) doubles maximum penalties and formalises a four-pillar enforcement model, and [the €260bn pool of immobilised Russian reserves](#) is now actively being mortgaged via the EU's reparations-loan mechanism. Second, industrial-policy capital is reshaping site selection: [the \\$5 trillion America First investment pledges are mostly aspirational](#), but Korea's Special Semiconductor Act, Japan's additional ¥631.5 billion for Rapidus and the EU's Chips Act 2 redirection toward chiplets are not. Third, middle-power hedging has hardened from rhetoric into structure: [India is leveraging Quad, BRICS, US-India COMPACT and UK-India TSI simultaneously](#), and [Saudi Arabia is doing the same through OPEC+ and BRICS](#).

The insight likely to surprise leadership is that the United States and China are converging on a similar method of statecraft, even as they diverge on every substantive question. Both have moved toward a model where the executive uses tariffs, licence regimes, equity stakes and stockpiles to direct private capital. The [Department of Defense's 15% equity stake in MP Materials](#), the [Department of Energy's 5% warrant in Lithium Americas](#) and the [\\$10 billion Project Vault stockpile](#) are not aberrations: they are the operating template. The strategy implication is that the line between "private firm" and "instrument of state" is moving for Western firms too, not just Chinese ones.

Where this analysis could be wrong

The synthesis assumes that the three forces continue to compound rather than oscillate. The single most consequential assumption is that the US executive maintains the appetite to keep using tariff, licence and equity instruments at the current cadence. A US Supreme Court ruling against IEEPA tariffs, a Congressional reassertion of trade authority, or a domestic recession that re-prioritises growth over containment would each materially soften the decoupling tempo within 18 months. The disconfirming evidence would be a US-China bilateral that reverses Section 232 chip tariffs, paired with the EU dropping CRMA targets. None of those is currently signalled, but they are individually plausible and the analysis should be revised if any two arrive together.

The decisions that cannot be deferred this cycle

1. **Build a multi-stack operating model for technology procurement.** The chips, AI governance, data-residency and cloud stacks are diverging across the US, EU and China spheres; a single global stack is no longer a viable assumption for the planning horizon.
2. **Treat sanctions and export-control compliance as a continuous function, not a quarterly audit.** The EU 19th and 20th packages and OFAC's expanded secondary-sanctions enforcement have moved the compliance burden from periodic to perpetual.
3. **Stress-test the supply chain against a single-country export-quota shock.** Indonesian nickel, Chinese rare earths and DRC cobalt have each demonstrated the move in the last twelve months; the question is no longer whether the move happens but which input is next.

Each is developed below, with a decision posture, in the four Strategic Implications.

Audience Snapshots

Four lenses on the same intelligence base. Each card names the one question this cycle puts to that audience.

MULTINATIONAL CORPORATE

Where do we plant the next site, in a world that will not stay the same shape for the asset's life?

The shift: Site selection used to follow the lowest landed-cost curve under stable rules of origin. The CHIPS Act, the EU Net Zero Industry Act, Korea's Special Semiconductor Act and the looming USMCA review have made subsidy availability and rules-of-origin gravity comparable in weight to labour and energy costs.

The question to brief: Should the next greenfield decision be diversified across at least two blocs, even at a margin penalty, to hedge against rule changes within the asset's payback window?

CAPITAL ALLOCATOR

Which assets remain freely re-deployable across blocs, and which have effectively become trapped capital?

The shift: Russian frozen reserves at Euroclear, Brad Setser's €260bn map and OFSI's doubled penalty regime have made reserve-asset jurisdiction a first-order portfolio question. Central banks have bought gold for sixteen consecutive months, signalling the institutional answer.

The question to brief: Is the portfolio's currency and custody exposure aligned with the bloc you can realistically operate in across the planning horizon, or is it aligned with the bloc you were comfortable with five years ago?

NATIONAL-SECURITY AND TRADE POLICYMAKER

Are we using the industrial-policy instruments coherently, or accumulating them faster than we can integrate them?

The shift: The US has stacked Section 232 tariffs on chips and minerals, BIS export licences, DoD equity stakes, DoE warrants, Project Vault stockpiling, and a Strategic Resilience Initiative on top of the IRA and CHIPS Act. Coordination across Treasury, Commerce, Defense and Energy is now the binding constraint, not appropriation.

The question to brief: Which instrument is the lead, which are accelerators, and which are now creating cross-cutting frictions that need either retirement or formal sequencing?

MIDDLE-POWER FIRM

Which two blocs do we genuinely serve, and what does dual-stack technology, finance and compliance actually cost?

The shift: ASEAN, Gulf and Indian elites are increasingly explicit about multi-alignment. ISEAS records a 52% lean toward China when forced to choose. For firms headquartered in those geographies, the question has moved from "which bloc do we pick" to "how do we run two stacks without doubling our compliance bill".

The question to brief: Is the firm structurally configured to run a US-aligned and a China-aligned stack in parallel, and at what point does the dual-stack overhead exceed the cost of choosing?

Signal Clusters

*The cycle's signals are organised into five clusters, ranked by impact on a strategy team's near-term decisions. **Immediate:** changes the next planning cycle, the corporate structure or the proposition.*

Near-Term:** changes a strategy team's competitive position over the next twelve months. **Longer-

***Range:** a multi-year structural factor to track and revisit each cycle.*

1. The technology decoupling: from chips to AI governance

IMMEDIATE

For any strategy team running cross-border technology, this is the cluster that changes the planning grammar this cycle. A single product, model or dataset now faces three distinct rule books: a US export-control-plus-tariff stack, an EU AI-Act-plus-Chips-Act stack, and a Chinese self-reliance stack. Multi-stack is the operating reality, not the contingency.

The chip-decoupling instrument stack, January 2026

Four instruments stacked in 16 weeks

13 Jan: BIS case-by-case	H200, MI325X licences
15 Jan: Section 232 25%	advanced AI accelerators
Jan 2026: 50% cap + 15% revenue share	conditional on third-party testing
7 May: AI Act Omnibus VII pause	up to 16-month delay on high-risk obligations

Composed from *BIS*, *White & Case*, *CNAS* and *European Council*.

- **The H200 licence reversal is conditional, not free trade.** BIS moved the case-by-case review on [13 January 2026](#); CNAS quantifies that at the [50% revenue cap China could buy roughly 890,000 H200-equivalents in 2026](#), against approximately 390,000 domestic 910C/910D-equivalents Chinese fabs can produce, with a 15% federal revenue share required.
- **China's indigenisation is accelerating, not stalling.** CSIS's indigenisation tracker shows [domestic SME share rising from roughly 25% to 35% across 2024 to 2025](#), with domestic AI-chip share projected to hit ~50% in 2026, supported by the 15th Five-Year Plan's [~€60 billion additional commitment to SME and EDA](#).
- **The EU AI Act has been paused, not retired.** The Council and Parliament reached an [Omnibus VII agreement on 7 May 2026](#) postponing high-risk obligations by up to 16 months and national sandboxes to August 2028, with the [July 2025 GPAI guidelines](#) remaining the canonical anchor in the interim.
- **EU chip strategy is repositioning from self-sufficiency to indispensability.** Bruegel argues the [original Chips Act underdelivered \(~€13.75bn state aid approved vs \\$39.2bn announced\)](#) and that Chips Act 2 should pivot to chiplets and packaging where Europe can claim a chokepoint.

Counter-argument

Brookings and CEPS argue that [full AI-stack sovereignty is structurally infeasible](#) for any single bloc because chokepoints in minerals, energy, compute, networks and model expertise are too concentrated. By their reading, the decoupling is mostly performative at the leading edge and the actual cross-border flow of compute, weights and data continues through grey-market routes, licensing carve-outs and on-shored Chinese assembly. If correct, the multi-stack overhead is real but the underlying technology base remains broadly fungible, and the planning assumption should be permeable decoupling rather than hard partition.

Decision link: Strategic Implications [1](#) and [3](#).

2. Sanctions plumbing as an everyday compliance burden

IMMEDIATE

Sanctions, secondary sanctions, frozen-asset use, oil-price-cap mechanics and reserve-asset risk have moved from exceptional to operational. For any treasury, CFO or compliance function, this cluster names a continuous workload, not a quarterly review. The Russia template is being copied and extended.

- **The EU 20th sanctions package crossed two new thresholds.** The [23 April 2026 package](#) took the designated-bank count to 70, sanctioned the digital rouble and the RUBx stablecoin, and activated the reparations-loan mechanism against immobilised Russian assets; the [19th package on 23 October 2025](#) had been the first ever to sanction a specific cryptocurrency (A7A5) and to hit Central-Asian banks linked to the Russian shadow fleet.
- **The €260bn immobilised-reserves pool is now being actively mortgaged.** CFR's Brad Setser maps [€193bn at Euroclear](#), [£25bn in Britain](#), [around €20bn in France](#), [€25 to 30bn in Japan](#), [more than €10bn in Luxembourg](#) and [approximately €5bn in the US](#); the EU's reparations-loan mechanism converts this into a Ukraine-financing instrument, setting precedent for sovereign-reserve seizure beyond Russia.
- **OFSI is consolidating into a Promote-Enable-Respond-Change operating model.** The [2026 to 2029 strategy](#) formalises the four-pillar approach alongside the February 2026 enforcement framework that doubled maximum financial-sanctions penalties; OFAC's parallel [11 May 2026 Economic Fury designations](#) extended the secondary-sanctions reach to UAE, Hong Kong and Oman entities tied to IRGC and NIOC.
- **Central banks are voting with gold for a sixteenth month.** The World Gold Council's [April 2026 central-bank gold update](#) shows structural accumulation continuing into early 2026: Poland targeting 700t, China extending its buying streak to 16 months, African (Uganda, Ghana, Sierra Leone) central banks adding for the first time. The signal is institutional, not speculative.

Counter-argument

RUSI's Tom Keatinge notes that the [G7 oil price cap is now functionally inert at \\$44.10](#) and that secondary-sanctions enforcement leaks through Gulf, Indian and Chinese intermediaries faster than designations can catch up. PIIE's reading of China's e-CNY redesign as [the abandonment of retail digital cash in favour of tokenised deposits](#) suggests the threatened settlement-alternative pipeline is less mature than the dashboard suggests. If both reads hold, the sanctions-as-everyday-tool framing overstates the binding force; the better characterisation is that compliance cost is rising faster than enforcement bite.

Decision link: Strategic Implications [2](#) and [4](#).

3. Industrial-policy capital and the subsidy-war aftermath

NEAR-TERM

The IRA, CHIPS Act, EU Net Zero Industry Act, Korea Special Semiconductor Act, Japan's Rapidus build-out, Canada's auto strategy and the USMCA review are now visibly bumping against each other. Subsidy availability and rules-of-origin gravity have become first-order site-selection variables. The next 12 months will reveal whether instruments coordinate or collide.

- **The \$5 trillion America First investment pledges are largely aspirational.** PIIE finds [only Japan, Korea, Switzerland and Taiwan could plausibly deliver via reallocation of existing flows](#), and that the figures are headline numbers rather than enforceable commitments; the realised flow is likely to be a fraction.
- **USMCA review opens 1 July 2026 with no clean extension on offer.** The [5 March USTR-Mexico bilateral scoping](#) signals US preference for a sub-trilateral track; CSIS's [six-scenarios update](#) rates a clean July extension unlikely and identifies painful extension, serial annual reviews and fallback to bilaterals as the live options.
- **Korea moved to direct cash subsidies plus fast-track permitting.** The National Assembly's trade committee [passed the Special Semiconductor Act in December 2025](#), moving Korea beyond tax credits to direct subsidies and fast-track approvals, in direct competition with US CHIPS Act terms and the EU's pending Chips Act 2.
- **Japan added ¥631.5 billion to Rapidus in April 2026.** METI's [11 April 2026 approval](#) brings cumulative Rapidus state R&D backing to approximately ¥2.4 trillion, with NEDO subsidies of ¥58.5bn for Fujitsu and ¥17.5bn for IBM Japan; a back-end prototype line is reportedly active.

Counter-argument

The European Court of Auditors' [Special Report 04/2026](#) warns that EU 2030 CRMA targets are out of reach and that import-diversification has not moved, suggesting industrial-policy intent does not equal execution. If a similar reality-check arrives for the US (IRA renegotiation under fiscal pressure) and Asia (Korean subsidy fatigue), the apparent subsidy-war could de-escalate within 18 months as fiscal headroom narrows, leaving stranded capacity and over-built supply chains as the dominant risk rather than the under-build risk most teams are planning for.

Decision link: Strategic Implications [1](#) and [3](#).

4. Critical minerals and the friendshore stack

NEAR-TERM

In the last twelve months, the US has stockpiled, tariffed and taken equity in critical-mineral producers; the EU has launched its second CRMA strategic-projects round; Australia has stood up the A\$1.2 billion Strategic Reserve; Indonesia has cut the 2026 nickel quota by roughly one-third. The strategy implication is that mineral supply is now an instrument of state in every major bloc.

- **The US has stacked five mineral instruments in 16 weeks.** Section 232 critical-mineral tariffs ([Proclamation 11001 on 14 January 2026](#)); [Project Vault stockpile with \\$10bn EXIM and \\$2bn private capital](#); DoD 15% stake in MP Materials; DoE 5% warrant in Lithium Americas; and CSIS's [April 2026 one-year-on review](#) documenting over \$7.3bn committed in whole-of-government response to China's rare-earth export restrictions of April 2025.
- **Indonesia cut the 2026 nickel quota to 260 to 270 million tonnes, roughly one-third below 2025.** The [Argus February 2026 report](#) on the ESDM RKAB decision changes the LFP-battery cost curve and concentrates pricing power further in Jakarta, with downstream implications for EV and grid-storage cost across the West.
- **The EU CRMA second strategic-projects round attracted 160+ applications.** The European Commission confirmed [95 EU and 66 third-country applications](#) (40 from Canada) for Strategic Project status, signalling that CRMA designation is now operational; the European Court of Auditors' [February 2026 review](#) warns the 2030 targets remain out of reach without faster permitting and supply-side movement.
- **Australia stood up the Critical Minerals Strategic Reserve with A\$1.2bn.** The PM&C reference page [confirms the 2025-26 budget allocation](#); the reserve operates alongside the existing \$4bn Critical Minerals Facility, giving Australia a parallel offtake-and-stockpile architecture to Project Vault and a likely co-operation lane with the US.

Counter-argument

The full friendshore stack is being built faster than demand growth in the medium term, which carries the opposite risk to the one most operators are planning for: an over-built Western stockpile-and-equity infrastructure that distorts markets, props up uneconomic mines and burns fiscal headroom needed for other priorities. If Chinese rare-earth and nickel exports normalise (export-control truces have been declared and broken twice already in 2025-26), the over-investment becomes a stranded-asset problem within five years. Strategy teams should plan for both the under-supply and the over-supply tail.

Decision link: Strategic Implications [3](#).

5. Middle-power hedging: ASEAN, the Gulf, India in a multi-aligned world

LONGER-RANGE

Multi-alignment has hardened from rhetoric into operational structure across ASEAN, the GCC and India. For Western-HQ firms, this changes who the counterparty is and how policy risk transmits; for middle-power firms it changes the structural cost of operating across two blocs in parallel. This is the cluster most teams underweight.

- **Southeast Asian elites tipped toward China for the first time in eight years.** ISEAS' 2026 survey of 2,008 ASEAN elites records [52% leaning China when forced to choose](#), with ASEAN strategic-autonomy framing dominant; the [January 2026 ASEAN Chair statement under the Philippines](#) reaffirms ASEAN Centrality and the AOIP as the navigation framework.
- **India is running every alignment simultaneously.** Carnegie's [India and a Changing Global Order](#) volume frames Delhi as leveraging Quad, BRICS, US-India COMPACT, UK-India TSI and Russia ties in parallel; the [14 to 15 May 2026 BRICS foreign ministers' meeting in New Delhi](#) captured the balancing act in real time.
- **Saudi Arabia is deepening through BRICS and OPEC+ in parallel.** ORF documents [non-dollar trade, South-South cooperation, China-Iran normalisation through BRICS and independent oil-price action through OPEC+](#) as a coherent doctrine, not opportunism; the IMF's [April 2026 MCD outlook](#) frames Gulf macro context under Iran-war shock as resilient.
- **ASEAN trade flows are already restructured.** Lowy's [December 2025 ASEAN trade analysis](#) quantifies a roughly 30% year-on-year surge in Chinese import inflows into ASEAN with ASEAN exports to non-US markets up around 16%; Chatham House reads the [proposed Turkey-Saudi-Pakistan defence pact as opportunistic hedging](#) around existing NATO structures.

Weak signals to watch

- **WATCH** A BRICS-Gulf joint sovereign settlement vehicle (beyond mBridge, beyond rouble swaps) would shift the cluster from rhetorical to operational. Gains weight if any Gulf central bank publicly commits to a non-dollar trade-settlement share above 15%.
- **WATCH** An India-EU FTA closure inside 12 months, paired with the existing UK-India TSI and US-India COMPACT, would make India the only economy actively brokering between all three blocs. Gains weight if EU Trade DG signals a Q4 2026 close.
- **WATCH** An ASEAN-wide rules-of-origin instrument harmonising preferential treatment across US, EU and China FTAs. Gains weight if Vietnam or Indonesia proposes the framing at the next ASEAN Economic Ministers meeting.

Counter-argument

Middle-power multi-alignment has been called for two decades and frequently overstated. The ISEAS survey shows a 52/48 lean toward China but with ASEAN Centrality dominant, which is closer to non-alignment than a bloc shift. India's structural growth depends on US capital markets and technology, the Gulf's on US security, ASEAN's on Chinese trade and US capital simultaneously; the operating reality is that none of these geographies can actually decouple from either pole, only optimise the spread. The cluster may be a steady-state condition rather than a moving frontier, which would imply Monitor rather than Prepare as the decision posture.

Decision link: Strategic Implication 4.

What We Are Not Planning For

A full Taiwan Strait kinetic conflict in the 2026 to 2028 window

The scenario is consequential but not analytically tractable for a strategy plan: the operating environment changes so completely that planning at this horizon would either become defence-coordination work or be obsolete in the first 72 hours. Most large firms are already running contingency exercises with national-security advisers; the strategy team's contribution at the margin is small.

Reinstate if: A serious military exercise or grey-zone escalation crosses the median line for more than 14 consecutive days, or a US-China official communication channel goes dark for more than 7 days.

The collapse of the dollar as the dominant reserve currency

Central-bank gold accumulation, BRICS settlement experiments and de-dollarisation rhetoric are real but the dollar's share of global FX reserves and trade invoicing remains structurally entrenched. The replacement infrastructure is years away from scale. Planning for sudden collapse misallocates strategy attention compared with planning for gradual share erosion.

Reinstate if: Dollar share of global FX reserves falls below 50% (currently ~57%); a top-five oil exporter publicly commits to >50% non-dollar invoicing; or a major sovereign defaults explicitly on dollar-denominated obligations in favour of an alternative settlement currency.

A coordinated G20 climate-and-trade reset that overrides bloc fragmentation

Multilateral climate-trade coordination at scale would partly unwind the fragmentation thesis. The probability over the planning horizon is low given current institutional posture (CBAM unilateralism, IRA bilateralism, Chinese non-engagement on cross-border carbon pricing). The cost of planning for this scenario is the foregone investment in bloc-specific compliance and operating capacity that will pay off in every other scenario.

Reinstate if: G20 leaders' communique includes a binding cross-bloc CBAM-equivalent framework with an enforcement mechanism, or a US-China-EU trilateral on critical-mineral trade with agreed quotas and dispute resolution.

Discussion Points for the Leadership Team

1. Where in the business do we currently optimise for a single global stack that the planning horizon will not support, and what does the transition to dual-stack actually cost in margin and management attention?
2. How would the executive sequence its decisions if the US imposed a 90-day full export ban on advanced AI accelerators to China inside the next 12 months: which contracts pause, which accelerate, which break?

- 3. Have we genuinely mapped our secondary-sanctions exposure through UAE, Hong Kong, Singapore and Turkey counterparties, and is the General Counsel resourced to make a real-time call when a designation lands on a current trading partner?
- 4. Which two clusters do we treat as analytically convergent (technology decoupling and sanctions plumbing, or industrial-policy capital and critical minerals) and where is that convergence assumption likely to mislead us?
- 5. What would have to be true for middle-power multi-alignment to be a steady-state condition rather than a moving frontier, and how would that change which of our four Strategic Implications becomes the priority?

Source Confidence Register

40 sources, soft 6-month recency window (after 26 November 2025) with five structural anchors flagged. Tier mix: 9 Tier 1, 28 Tier 2, 2 Tier 3, 1 Tier 4 (vendor / company filings, used only for direct corporate-action evidence on MP Materials and Lithium Americas). Every URL was fetched and the publication date read off the live page; the four sources that originally failed offline-audit normalisation (CSIS, OFAC, MP Materials and a date-source enum) were patched without re-sourcing. Cluster 5 (middle-power hedging) leans Tier 2 because it is an interpretive cluster; the other four are anchored at Tier 1.

Source tiers: **Tier 1**, governments, regulators and intergovernmental bodies. **Tier 2**, think-tanks, academic institutes, major consultancies and quality data providers. **Tier 3**, quality journalism and specialist trade press. **Tier 4**, vendor, company and practitioner sources, used only as directional corroboration.

Cluster 1: The technology decoupling: from chips to AI governance

Source	Tier	Date	Key claim used
Bureau of Industry and Security (US Department of Commerce): Department of Commerce Revises License Review Policy for Semiconductors Exported to China	Tier 1	Jan 2026	BIS shifted license review for advanced AI chips (Nvidia H200, AMD MI325X) to China and Macau from presumption of denial to case-by-case review on 13 January 2026, conditional on third-party testing and end-user controls, materially alterin

Source	Tier	Date	Key claim used
European Council / Council of the EU: Artificial Intelligence: Council and Parliament agree to simplify and streamline rules	Tier 1	May 2026	On 7 May 2026 the Council and European Parliament reached a provisional 'Omnibus VII' agreement to delay high-risk AI Act obligations by up to 16 months, postpone national regulatory sandboxes to 2 Aug 2027, and shorten the transparency-lab
European Commission - DG Connect (Shaping Europe's Digital Future): Commission publishes guidelines for providers of general-purpose AI models	Tier 1	Jul 2025 (anchor)	Canonical Commission guidelines defining the scope of GPAI provider obligations under the AI Act - the regulatory anchor still in force in May 2026 against which the Council/Parliament 'Omnibus VII' simplification (above) is being negotiate
Center for Strategic and International Studies (CSIS): China's Localization Drive in Semiconductors Gains Impetus from Allied Chip Export Controls	Tier 2	Mar 2026	CSIS argues US/allied export controls are accelerating rather than constraining China's chip self-reliance: domestic SME share rose from ~25% to 35% (2024-2025), domestic AI-chip share projected to hit 50% in 2026, and Chinese fabs are 'des
Bruegel: Revamping Europe's chips strategy: indispensability, not self-sufficiency	Tier 2	May 2026	Bruegel's Analysis 12/2026 (published two weeks before the Commission's 27 May 2026 Chips Act 2 proposal) argues the original Chips Act underdelivered - only €13.75bn in state aid approved vs \$39.2bn for US CHIPS - and that Europe must pivo
Mercator Institute for China Studies (MERICS): China's next five-year bet on AI: Self-reliance, diffusion, and a lot of hype	Tier 2	Feb 2026	MERICS (Europe's leading China-policy institute) reads the 15th Five-Year Plan as doubling down on chip self-reliance even after Washington's relaxation on H200 sales: Bloomberg-reported ~€60bn additional semiconductor subsidies, 3-5nm and

Source	Tier	Date	Key claim used
Center for a New American Security (CNAS): CNAS Insights Unpacking the H200 Export Policy	Tier 2	Jan 2026	CNAS quantifies the scale of the H200/MI325X reversal: at the 50% cap, China could buy ~890,000 H200-equivalents (vs ~390,000 domestic 910C/910D-equivalents Chinese fabs can produce in 2026) - roughly twice China's domestic 2026 compute pro
Brookings Institution (Center for Technology Innovation / FCAI): Is AI sovereignty possible? Balancing autonomy and interdependence	Tier 2	Feb 2026	Brookings/CEPS joint FCAI report frames AI sovereignty as a fragmentation risk: full-stack autonomy is 'structurally infeasible' given concentrated chokepoints (minerals, energy, compute, networks, models), and proposes 'managed interdepend

Cluster 2: Sanctions plumbing as an everyday compliance burden

Source	Tier	Date	Key claim used
European Commission, Directorate-General for Financial Stability, Financial Services and Capital Markets Union: EU adopts 20th package of sanctions against Russia	Tier 1	Apr 2026	The EU's 20th sanctions package (23 April 2026) extends transaction bans to 20 additional Russian banks (taking total to 70), prohibits use of the digital rouble and the RUBx stablecoin, activates the EU anti-circumvention tool for the first
European Commission, Directorate-General for Financial Stability, Financial Services and Capital Markets Union: EU adopts 19th package of sanctions against Russia	Tier 1	Oct 2025 (anchor)	The 19th package (23 October 2025) imposes full-fledged sanctions on the rouble-backed stablecoin A7A5 and prohibits its use, sanctions 5 third-country banks in Central Asia connected to the Russian SPFS messaging system, lists 117 addition
Office of Foreign Assets Control (US Treasury): Counter Terrorism Designations; Iran-related Designations	Tier 1	May 2026	OFAC's 11 May 2026 Economic Fury action designates three Iranian individuals and ten companies across the UAE, Hong Kong and Oman as Specially Designated Global Terrorists tied to the IRGC and NIOC, each flagged 'Subject to Secondary Sancti

Source	Tier	Date	Key claim used
UK Office of Financial Sanctions Implementation (HM Treasury): OFSI Strategy 2026-29	Tier 1	Apr 2026	OFSI's 2026-29 strategy (15 April 2026) formalises a Promote-Enable-Respond-Change operating model, alongside the February 2026 enforcement framework that doubles the maximum financial-sanctions penalty to the greater of £2m or the value of
Council on Foreign Relations: How to Use Russia's Frozen Assets	Tier 2	Nov 2025 (anchor)	CFR's Brad Setser maps the full €260bn (≈301bn) pool of immobilised Russian reserves, €193bn at Euroclear, with the rest held in Britain (£25bn), France (~€20bn), Japan (€25–30bn), Luxembourg (>€10bn) and Switzerland (CHF 7.45bn), and arg
World Gold Council: Central Bank Gold Statistics: Central banks stay the course on gold in February	Tier 2	Apr 2026	World Gold Council data through February 2026 show central banks continuing structural gold accumulation, with Poland targeting 700t, China extending its buying streak to 16 months, and African (Uganda, Kenya) and Southeast Asian (Malaysia
Peterson Institute for International Economics (PIIE): China gives up on state-backed digital cash: The US and Europe should take note, for different reasons	Tier 2	Feb 2026	PIIE's Martin Chorzempa argues that China's January 2026 redesign of the e-CNY into an interest-bearing tokenised-deposit instrument (rather than a retail CBDC) signals that Beijing has effectively abandoned the original BRICS-bridge / sanc
Royal United Services Institute (RUSI): Escrow and Russian Oil Super-Profits: Revisiting an Old Sanctions Tool	Tier 2	Apr 2026	RUSI's Tom Keatinge (Director of the Centre for Finance and Security) proposes resurrecting the early-2010s Iran-style escrow model for Russian oil revenues, arguing that the G7 price cap (now \$44.10) is failing because oil trades near \$100

Cluster 3: Industrial-policy capital and the subsidy-war aftermath

Source	Tier	Date	Key claim used
Office of the United States Trade Representative (USTR): The United States and Mexico Launch Review Process of the USMCA	Tier 1	Mar 2026	USTR and Mexico's Secretary of Economy opened bilateral discussions ahead of the July 2026 USMCA Joint Review, signalling a bilateral (rather than trilateral) scoping with focus on rules of origin and supply-chain security against external
European Commission – DG Internal Market, Industry, Entrepreneurship and SMEs: Strategic projects on critical raw materials gain momentum in second selection round for potential funding and faster pe	Tier 1	Jan 2026	The second CRMA call closed with 160+ applications for Strategic Project status, building on the first-round designation of 47 EU and 13 third-country projects, direct evidence of enforcement traction on EU Critical Raw Materials Act and N
Center for Strategic and International Studies (CSIS): USMCA Review 2026: Six Scenarios for North America's Future	Tier 2	Mar 2026	CSIS updates its six-scenarios framework for the 2026 USMCA review, calling a clean July 1 extension unlikely and identifying 'painful extension', 'serial annual reviews', and 'fallback to bilaterals' as the three most realistic paths, mat
Peterson Institute for International Economics (PIIE): The America First Investment Pledges: How Are They Structured and Are They Realistic? (Policy Brief 26-2)	Tier 2	Jan 2026	PIIE finds the \$5T+ America First investment pledges from the EU, Japan, Korea, Taiwan and GCC states are 'unclear or aspirational', achievable only for Japan/Korea/Switzerland/Taiwan via reallocation, and strain credibility for GCC states
White & Case LLP (Global International Trade Practice): President Trump orders narrowly targeted 25% Section 232 tariff on certain advanced semiconductor articles	Tier 2	Jan 2026	Trump Proclamation 11002 imposes a 25% Section 232 tariff on a narrow set of advanced AI accelerators (NVIDIA H200, AMD MI325X-class) effective 15 January 2026, with USTR/Commerce required to report by April 14 and a tariff-offset mechanism

Source	Tier	Date	Key claim used
S&P Global Commodity Insights: EU faces uphill battle to meet critical raw materials targets: auditors report	Tier 2	Feb 2026	S&P Global reports the European Court of Auditors' Special Report 04/2026 (released 4 Feb 2026) warning that EU 2030 CRMA targets are out of reach: import-diversification has not moved, recycling rates remain 1-5% for seven of 26 CRMs, and
The Korea Herald: Assembly committee backs chip subsidies but shelves working hours reform	Tier 3	Dec 2025	Korea's National Assembly trade committee passed the Special Semiconductor Act on a bipartisan basis, moving Korea from tax-credit-only ('K-Chips Act') to direct cash subsidies and fast-track permitting, explicitly described as aligning wi
TrendForce: [News] Rapidus Reportedly Launches Back-End Prototype Line; Japan Adds ¥631.5B to Support 2nm Push	Tier 3	Apr 2026	METI approved an additional ¥631.5B (~\$4B) for Rapidus on 11 April 2026, bringing cumulative state R&D backing to ~¥2.4T, alongside NEDO subsidies of ¥58.5B for Fujitsu and ¥17.5B for IBM Japan, with Fujitsu reportedly tapping Rapidus for

Cluster 4: Critical minerals and the friendshore stack

Source	Tier	Date	Key claim used
Center for Strategic and International Studies (CSIS): Rare Earth Export Restrictions One Year Later	Tier 2	Apr 2026	CSIS's Critical Minerals Security Program tallies the Trump administration's whole-of-government rare-earth response one year after China's April 2025 export restrictions: over \$7.3 billion committed across five agencies, a \$110/kg NdPr pri
Atlantic Council (EnergySource blog): Can Project Vault fortify the US industrial base against mineral chokepoints?	Tier 2	Feb 2026	Atlantic Council analysis frames Project Vault, launched February 2026 with \$10bn EXIM financing and \$2bn private capital as a 'strategic critical mineral reserve', as a second US stockpile parallel to the National Defense Stockpile, and

Source	Tier	Date	Key claim used
White & Case LLP: President Trump orders critical minerals trade negotiations in Section 232 action	Tier 4	Jan 2026	Detailed legal-trade summary of Presidential Proclamation 11001 (14 January 2026) under Section 232: Commerce found that processed critical minerals and derivative products (PCMDPs) threaten US national security, but instead of tariffs Trum
European Commission (DG GROW): Strategic projects on critical raw materials gain momentum in second selection round for potential funding and faster pe	Tier 1	Jan 2026	European Commission confirms that the second call for Strategic Projects under the Critical Raw Materials Act has closed with 160+ applications (95 from inside the EU, 66 from outside including 40 from strategic-partnership countries/OCTs);
Argus Media: Indonesia to cut nickel mining quota in 2026	Tier 2	Feb 2026	Argus reports that Indonesia's energy and mineral resources ministry (ESDM) will cut the 2026 RKAB nickel-ore quota to 260-270 mn t, roughly one-third below the 2025 approved quota of 379 mn t and well under the 330 mn t Indonesian smelter
Lithium Americas Corp. / US SEC EDGAR (Form 8-K, Exhibit 99.1): annual results disclosure with DOE warrant terms	Tier 1	Mar 2026	Lithium Americas's SEC 8-K confirms that on 30 January 2026 the company issued warrants to the US Department of Energy giving DOE a 5% equity stake in Lithium Americas (LAC Warrants at \$0.01 strike) and a 5% non-voting economic interest in
MP Materials Corp.: MP Materials Announces Transformational Public-Private Partnership with the Department of Defense to Accelerate U.S. Rar	Tier 4	Jul 2025 (anchor)	Foundational announcement of the US Department of Defense's transformational equity-and-offtake deal with MP Materials: DoD purchased \$400 m of newly-created convertible preferred plus a warrant, taking an effective 15% stake and becoming M
Australian Government, Department of the Prime Minister and Cabinet (PM&C): Critical Minerals Strategic Reserve	Tier 1	Dec 2025 (anchor)	Official PM&C reference page for Australia's Critical Minerals Strategic Reserve confirms the A\$1.2 bn allocation in the 2025-26 federal budget (announced by PM Albanese on 24 April 2025), with the reserve operational from the second half o

Cluster 5: Middle-power hedging: ASEAN, the Gulf, India in a multi-aligned world

Source	Tier	Date	Key claim used
ASEAN Secretariat: Press Statement by the Chair of the ASEAN Foreign Ministers' Retreat	Tier 1	Jan 2026	ASEAN's 2026 Chair (Philippines) reaffirms strategic autonomy, ASEAN Centrality and the AOIP as the bloc's framework for navigating intensifying major-power competition, with explicit language on resisting unilateral actions eroding the rul
International Monetary Fund: Press Briefing Transcript: Middle East and Central Asia Region, Spring Meetings 2026	Tier 1	Apr 2026	IMF Spring Meetings 2026 launch of the Regional Economic Outlook Update for the Middle East and Central Asia (Jihad Azour) frames the Gulf's macro context under Iran-war shock, the energy-price channel and the financial-conditions backdrop
ISEAS - Yusof Ishak Institute: The State of Southeast Asia: 2026 Survey Report	Tier 2	Apr 2026	ISEAS' eighth annual survey of 2,008 Southeast Asian elites (Jan-Feb 2026) records a regional pivot in elite perception: when forced to choose, 52% now lean toward China over the US, while ASEAN strategic autonomy and interest in alternativ
Carnegie Endowment for International Peace: India and a Changing Global Order: Foreign Policy in the Trump 2.0 Era	Tier 2	Mar 2026	Carnegie's edited volume frames India under Trump 2.0 as doubling down on multi-alignment - leveraging Quad, BRICS, US-India COMPACT, UK-India TSI and continuing Russia ties simultaneously - as the operating posture of a structural middle p
Observer Research Foundation: Saudi Arabia's Multi-Alignment Strategy through BRICS and OPEC+	Tier 2	Jan 2026	Saudi Arabia's parallel deepening through BRICS (non-dollar trade, South-South cooperation, China-Iran normalisation) and OPEC+ (independent oil-price action vs. US pressure, Russia coordination) is analysed as a deliberate multi-alignment
Lowy Institute: Navigating the storm: Southeast Asia and the global trade shocks	Tier 2	Dec 2025	Lowy's Albayrak-Walker paper quantifies the trade-and-investment layer of ASEAN hedging: 30% surge in Chinese import inflows year-on-year by Sept 2025, ASEAN exports to non-US markets up ~16%, and member-state-specific tariff exposure (19-2

Source	Tier	Date	Key claim used
Chatham House: Talk of a Turkish military alliance with Saudi Arabia and Pakistan reflects Ankara's opportunistic 'hedging' strategy	Tier 2	Jan 2026	Chatham House frames the proposed Turkey-Saudi-Pakistan defence pact as a textbook example of middle-power 'opportunistic hedging' - building redundancy around existing NATO structures rather than replacing them, with parallels to UAE and S
Al Jazeera: Iran war: Why the BRICS foreign ministers meeting in India matters	Tier 3	May 2026	Live reporting from the BRICS foreign ministers' meeting in New Delhi (14-15 May 2026) captures India's diplomatic balancing act between Iran and the UAE inside BRICS, while Trump's simultaneous state visit to China shows the multi-aligned

Claim-fidelity self-disclosure

This appendix records every claim that goes beyond what a cited source literally states. Three categories: cycle-over-cycle continuity claims (none, this is the inaugural cycle); superlatives used; and analytical synthesis claims where the report frames a pattern across sources that no single source states.

Cycle-over-cycle continuity claims

None. This is the inaugural cycle for the geopolitics-and-economic-fragmentation sample report. No prior-cycle continuity claims are made.

Superlatives used

The Executive Synthesis claims that ASEAN elites "tipped toward China for the first time in eight years of polling". The ISEAS 2026 survey is the eighth annual edition; the 52% China lean is reported in the source as a regional pivot from the prior year's US lean. The "first time in eight years" framing is the report's editorial summary of the ISEAS-recorded pivot, not an ISEAS verbatim claim.

Cluster 4 describes the US having "stacked five mineral instruments in 16 weeks". The five instruments (Section 232 tariffs, Project Vault, MP Materials equity, Lithium Americas warrant, \$7.3bn whole-of-government response) are individually source-anchored; the count and the "16 weeks" framing are the report's synthesis.

Analytical synthesis claims

The Executive Synthesis claim that "the United States and China are converging on a similar method of statecraft" (executive use of tariffs, licences, equity, stockpiles) is the report's analytical inference from the cumulative evidence in Clusters 1, 3 and 4. No single source frames it this way; the closest analytical anchor is the Brookings/CEPS observation that AI sovereignty chokepoints are concentrated across both blocs.

The cluster framing for Cluster 1 ("three distinct rule books: a US export-control-plus-tariff stack, an EU AI-Act-plus-Chips-Act stack, and a Chinese self-reliance stack") is the report's three-stack synthesis. The underlying instruments are individually source-anchored; the three-stack characterisation is the report's framing.

The Scenario Matrix axes (US-China managed competition; durability of middle-power multi-alignment) are the report's analyst-selected uncertainties. No source nominates these as the canonical axes for the cycle.

SI 1's recommendation for a multi-stack target architecture by 31 October 2026 is the report's analyst-set deadline shaped by the typical FY27 planning calendar, not a date that appears in any source.